

of the biggest broking houses on platforms like YouTube and Instagram.

In this backdrop, the Sebi order is expected to send a strong signal to finfluencers, many of whom spotted an opportunity to cash in on the millions of new investors that have flooded the equity market in the past few years.

“Many financial influencers are operating in a grey area and Sebi should bring in checks and balances,” says Malik, who features among the top finfluencers in the

THE MILLION CLUB

Finfluencer	YouTube followers (in million)
Pranjal Kamra	▶ 5.23
Rachana Ranade	▶ 4.41
Asset Yogi	▶ 3.64
Ankur Warikoo	▶ 2.89
Sunil Minglani	▶ 1.37
Parimal Ade#	▶ 1.3
P.R. Sundar	▶ 1.07
Nitin Bhatia	▶ 1

#Parimal Ade has three YouTube channels; Data as of May 30, 2023; **Source** YouTube

country, with a following of 3.64 million on YouTube through his popular channel called ‘Asset Yogi’.

“The past couple of years have seen many influencers popping up and making videos along with brand deals, etc. The problem is that such instances (Sebi barring Sundar from the securities markets) give the whole community a bad name. I believe it will lead to many finfluencers taking Sebi registration, which, in turn, will

only add to their own credibility,” says Malik, who is registered as a Research Analyst with Sebi.

Incidentally, Sebi Chairperson Madhabi Puri Buch had recently highlighted the fact that regulators across the globe are considering ways of creating a regulatory framework for finfluencers.

“This is a problem that every regulator across the globe is facing. When we met at IOSCO (International Organization of Securities Commissions), it was a very hot subject. I think we are all trying to find the right approach,” Buch had said last December.

TREAD WITH CAUTION

More recently—on May 30—she sent a cryptic warning to finfluencers when she said, “there is something cooking in the oven”, when asked about the way Sebi is trying to rein in unregistered investment advisors.

The gravity of the situation can be gauged from the fact that even the Union finance minister recently advised caution when considering the recommendations of the vast majority of influencers, who may be motivated by other considerations.

“Social influencers and financial influencers are all out there, but a strong sense of caution is required in each one of us to make sure we double check, counter check, don’t go as a flock into something...,” Finance Minister Nirmala Sitharaman had said in April.

Meanwhile, the important takeaway from the latest development, especially from an investor’s perspective, is that one should do a basic background check and ensure that the advisor has all the requisite regulatory approvals—an easy task actually, since Sebi’s website lists all registered intermediaries. **BT**

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BUZZWORD BALLET

After the frenzy over crypto and metaverse start-ups, the launch of ChatGPT has brought ‘AI-powered’ ventures into sharp focus

BY AAKANKSHA CHATURVEDI

▶ **IF YOUR PRODUCTS** or services are not already ‘AI-powered’, maybe you missed the marketing memo. From jackets to toasters to water purifiers, lately everything is powered by AI. And why not, there are no regulations on what can be called ‘AI-powered’. Until then, it’s all free real estate!

This marketing phenomenon is also making its way into the pitch decks of start-ups seeking funding. Vatsal Kanakiya, CTO of 100X.VC, says, “The number of companies applying with AI as an enabler to their business has increased multi-fold in the past six months.”

And investors are buying it too. Despite the overall funding winter in the start-up space, AI start-ups are still hot, as funding continues to flow their way. As per data from Crunchbase, from November 30, 2022 to May 30, 2023—the six months since the launch of ChatGPT—AI start-ups have received a whopping \$23.9 billion in funding, while funding for AI start-ups stood at \$13.5 billion in the six months before that. This indicates that